Mobitel (Pvt) Ltd.

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POLICY AND PROCEDURE ON EMPLOYEE DISCIPLINE

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Document Control Sheet

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1.0 Purpose

This policy is designed to help and encourage all employees including employees serving under Probation at Mobitel Private Limited, (the Company) to achieve and maintain acceptable standards of conduct. The aim of this policy, in conjunction with the rules, regulations and procedures of the Company and Law of the Country as amended from time to time, is also to ensure that all employees receive consistent and fair treatment in the course of a disciplinary matter and/or inquiry.

2.0 Definitions

- Unless the context otherwise requires, in these Rules the following terms shall have the following meanings and words in the singular shall include the plural and vice versa and words in masculine gender form shall include feminine gender form and vice versa.

- “Misconduct” is an act which is inconsistent with the expressed or implied terms and conditions of employment, or an act which has a material bearing on the smooth and efficient working of the organization or causing reputational damage to the Company or any of its Directors or staff or any proven criminal offence.

- “Company” means the Mobitel Private Limited.

- "The Board" means the Board of Directors of the Mobitel Private Limited.

- "Disciplinary Authority" means the Head of Human Resources, Chief Executive Officer (CEO) / Chief Operating Officer (COO) and Chairman of the Company.

- “Show Cause Letter” or “Call for Explanation” is a formal written notification issued to the employee requesting him / her to submit the explanation(s) with regard to an alleged “Misconduct”.

- "Disciplinary Action" means any action taken against an employee under this Policy and Procedure with regard to proving “Misconduct” committed by an employee.

- "Employee" means any person employed by the Company under any capacity including those under Probation.

- "Chief Executive Officer (CEO) / Chief Operating Officer (COO)" also includes any other officer acting for and on behalf of the CEO / COO.

- "Accused Employee" means an employee who has been served with a 'Show Cause Letter' or has been called for an explanation on 'Misconduct'.

- "Preliminary Investigation" means an Investigation held to ascertain whether a *prima facie* case exists against an employee with regard to an act of 'Misconduct'.

- "Domestic Disciplinary Inquiry" means a formal Inquiry held subsequent to the "Preliminary Investigation" in order to ascertain whether an employee is guilty for charge(s) of "Misconduct".

- "Defending Officer" means the person nominated (if any) by the "Accused Employee" to defend him at a Domestic Disciplinary Inquiry. Such employee should be an employee of the Company.

- "Inquiring Officer" means the officer appointed by the Human Resources Division of the Company to conduct a Formal Domestic Disciplinary Inquiry (DDI) in accordance with this Policy and the prevailing principles of the Labor Law.

- "Senior Management" mean officers in Senior Manager Grade and above, of the Company.

- "Warning" whether written or verbal shall be formal correspondence to an employee about Misconduct(s) committed by him / her which clearly states that the employee should refrain from repeating such Misconduct(s) or any other activities which could tantamount to Misconduct.

- "Advice" or "Cautioning" whether written or verbal shall be correspondence to an

employee on how to behave himself / herself at workplace while avoiding activities that could lead to "Misconduct". Advices are mostly communicated in an informal manner.

3.0 Scope

This Policy and Procedure apply to all the employees at Mobitel Private Limited who are employed as on Permanent cadre and on a fixed term basis.

4.0 General Principles

4.1 No disciplinary **action** will be taken against an employee until the case has been fully investigated. However, in **gross misconduct** & **cases of Fraud** immediate suspension of services of the employee with or without salary can be effected until further notice and pending inquiry, after a preliminary investigation is conducted and if there is prima facie evidence of misconduct. However, company may use its discretion depending on the gravity of the misconduct to transfer any employee pending disciplinary action in order to maintain a harmonious environment.

4.2 A charge of Misconduct against an employee needs to be established on a 'Balance of Probability'.

4.3 Laws prevailing in the Country, and accepted principles of Disciplinary Procedure will be followed at all times.

4.4 In an event where legal opinion is required, opinion of the Company's Legal Division and/or external lawyer(s) shall be obtained.

5.0 Offences

Any Act of "Misconduct' as per the definition given in this document.

6.0 Procedure

6.1 All employees, regardless of their position or length of service with the Company, are subject to disciplinary action and possible termination if found guilty of misconduct the procedure is as set out below.

6.2 All types of disciplinary issues should be forwarded directly to the Senior Manager Human Resources in writing by the respective Head of the Division or the Enterprise Risk Management Division. However, Head of Division of Human Resources shall have the right to inquire in to any disciplinary issue which is not formally reported.

6.3 Upon receipt of a complaint or a report on Misconduct the Human Resources (HR) Division may initiate subsequent action with or without holding a Preliminary Investigation as appropriate.

6.4 The HR Division will hold Preliminary Investigations within a reasonable time period of having received the complaint. At the Preliminary Investigation stage, the respective employee(s) will be questioned verbally and/or in writing and written statements of the employee(s) / witnesses may be obtained prior to conclusion of such Investigation.

6.5 Preliminary Investigations referred above will be carried out by the HR Division together with the Immediate Superior and/or the Head of the Division (HOD) and Enterprise Risk Management Division where necessary.

6.6 After completion of Preliminary Investigations, a brief report will be prepared by the HR Division on the findings of the Preliminary Inquiry and the recommended course of action to be taken. Such report shall be submitted to the Head of Legal Division through Head of HR.

6.7 In the event where the recommendation is that no further inquiry is required, necessary action will be taken as per the finding of the report, addressing the issue. Such action will be initiated within 3 working days from the preparation of the report.

6.8 In the event where the Investigation / Inquiry / Report identifies that the employee(s) is/ are not guilty / not connected with an alleged "Misconduct" the employment record in the Personnel File of the respective employee(s) should be updated accordingly and the employee(s) shall be informed of the status in writing. In such case, the employee(s) shall continue to work without interruption to salary and benefits. If the employee(s) has been suspended without pay, all back – wages and benefits shall be paid.

6.9 After conclusion of the Preliminary Investigations and a *Prima Facie* case is established on the charges of Misconduct, the Management may decide to issue a letter of show cause to the employee containing the charges against him of the misconduct committed.

6.10 In the event where it is necessary to keep the employee(s) out of Office premises, a suspension letter could be issued to the employee(s) with or without pay at any stage of the disciplinary procedure set out in this document pending an inquiry.

6.11 At the point of suspension, the employee is required to handover all pending work keys/Company identification card/Company property including mobile phone unit and /or SIM and documents to the respective superior/HOD. The respective superior/HOD should confirm to the HR Division in writing that such documents/equipment etc. have been duly handed over.

6.12 The HR Division will send a notification to all relevant personnel to disable access granted to such employee on all Information Technology Systems and Time/Attendance Systems and to hold payments due to such employee until further notice. Access to Mobitel premises for Company business purpose within the specified period of suspension could be made with prior appointment from HR.

6.13 During the period of such Suspension, the employee will be prohibited to enter any premises owned or managed by the Company. The relevant security personnel will be duly notified of such suspension with immediate effect. However, on circumstances decided by the Company, the suspended employee may be permitted to enter the Company premises with prior written authority of the HR Division. Such shall be informed to the Administration Division to intimate Security and to restrict access.

6.14 At any stage of the disciplinary procedure, the superior(s) of the respective employee in consultation with the HR Division may request to disable all Information Technology (IT) access given to such employee until further notice.

7.0 Domestic Disciplinary Inquiry (DDI) Procedure

7.1 If the reply to the Show Cause is not satisfactory and if it deems necessary, a DDI should be held. Written notice of the DDI containing the date time and venue of the DDI should be sent to the accused employee(s) and witnesses by hand or by registered post. The letters should be issued within a reasonable time period prior to the date of the inquiry.

7.2 In the event where there are co-accused in respect of same charges or there are several accused charged with different offences in connection with the same transaction/issue, either separate inquiries or one inquiry for all accused employees can be held. The guideline in this connection is what is practicable and expedient in the given situation and circumstances.

7.3 The Company through its HR Division shall appoint an impartial external Inquiring Officer who is experienced in holding Disciplinary Inquiries.

7.4 The accused employee is permitted to bring any other employee(s) of the Company, as a witness/(es) to give evidence at the inquiry, provided that such employees' details and the intention to present him/her as a witness is communicated to the HR Division in writing by such accused employee at least Two (02) working days prior to the inquiry. **No legal representation is allowed at the Domestic Disciplinary Inquiry.** However, presence of a silent observer who cannot actively take part in the inquiry at the request of accused employee, which may be allowed at the discretion of the Management. The "silent observer" should be strictly a fellow employee – outsiders are not permitted at domestic inquiries.

7.5 The accused employee will be allowed to be present at the inquiry throughout the proceedings.

7.6 The accused employee and the witnesses can give evidence in any language he/she prefers. The proceedings would be in the language the accused employee is familiar with. All evidence should be recorded in writing and signatures of the accused employee, person making the statements, Prosecuting Officer and the Inquiring Officer should be obtained at the end of evidence given by a certain accused/witness. Before the signatures are obtained, the person giving evidence should be given the opportunity to read and understand the respective statement. The signatures should be obtained at the end of every page of the recorded statement and initialed by same parties at every correction made.

7.7.1 In the event the Language of the Inquiry is different to the language of evidence lead, the evidence should be translated to the language of the Inquiry and explained to the respective person who gave evidence. If the domestic inquiry is conducted in a language different to that of the witness giving evidence, an endorsement should be recorded at the end of the evidence stating that the contents of the recorded evidence has been explained to him in his language and that he accepts the accuracy of the recorded evidence. The signature of the witness should be obtained below the endorsement along with the signature of the Inquiring Officer and the accused employee.

7.7.2 If the Inquiring Officer is in agreement, different statements (of different accused/witnesses) can be in different languages.

7.8 Documents marked in the Inquiry should be dated and initialed by the Inquiring Officer.

7.9 Once the Inquiry is concluded, the Inquiring Officer will submit the findings of the Inquiry to the HR or the CEO / COO of Company in writing stating whether the accused employee(s) is/are guilty for each offence. It is open for the Inquiring Officer to find the respective employee(s) not guilty for a specific charge but guilty of a lesser charge.

7.10 The Inquiring Officer will only report on the findings of the inquiry and state whether the employee(s) is/are guilty or not guilty or innocent for the charges. The nature of the punishment to be metted out will be decided by the HR Division in consultation with the CEO / COO of the company based on the findings of the Inquiry. If the employee(s) is / are proven not guilty, it will be communicated for the employee in writing and the relevant Personal file would be updated.

7.11 In the event where a certain employee is involved in more than one inquiry almost simultaneously in respect of different acts of misconduct, the Company may wish to postpone the decision and punishment of one set of charges until the conclusion of the other Inquiry/ Inquiries are finalized.

7.12 If an employee commits an act or omission which leads to criminal liability, criminal proceedings may be initiated apart from DDI.

8.0 Punishment

8.1 If the employee is found guilty of the charges, the company at its sole discretion will decide on an appropriate punishment to be meted out. The punishment will be communicated in writing to the employee.

8.2 Types of punishments are as given below, but will not be restricted only to the following:

1) Written Warning or Advice.
2) Stoppage of an increment and / or bonus and / or promotion.
3) Deferment of an increment and / or bonus and / or promotion.
4) Transfer.
5) Suspension from services without pay for a particular period.
6) Termination following Disciplinary Investigations and Inquiry.

8.3 Selection of Appropriate punishments:

- The punishment should correspond fairly to the gravity of the offence.

- The employee's past records should be considered while imposing a punishment. The extent to which the past record is relevant would depend on the facts of each case and on the nature of the past record. i.e.: - in the event of an employee who has served the Company for 20 or more years, bad records within the first 5 years of service would be

less important if his/her subsequent 15 years of service remains unblemished. However, there could be exceptions when considering serious offences such as theft or fraud. In such cases a single instance may suffice Termination.

9.0 General

9.1 Disciplinary issues of an employee should be considered by the Immediate Superior and the Head of the Division (HOD) when evaluating and rating the employee in the immediate subsequent Performance Appraisal cycles. If an employee is once punished will not be considered for further punishment for the same issue at the evaluation. However, in the event of any punitive measure related to increment, promotion, bonus is mentioned in the warning issued, such will be implemented at the time of considering the above.

9.2 Company may suspend grant of salary increment, bonus, promotion or any other benefit to any employee who has a pending disciplinary action till the final outcome.

9.3 The date of termination subsequent to a suspension would be effective from the date of suspension. This may vary depending on the time taken for the process and the outcome of the case subject to Management direction.